

24STCV25389 24STCV25389

County: los-angeles

Division: Civil Law and Motion

Department: 731

Hearing date: 2026-08-06

Motion: PLAINTIFF'S MOTION FOR SUMMARY ADJUDICATION AS TO DEFENDANTS

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Case Number: 24STCV25389 Hearing Date: August 6, 2026 Dept: 731

SUPERIOR COURT OF THE
STATE OF CALIFORNIA

FOR THE COUNTY OF LOS
ANGELES - CENTRAL DISTRICT

CENTERSTONE SBA LENDING, INC.,

a California corporation,

Plaintiff,

v.

CROWNCO INC., a California
corporation;

CHARLES E. MORRISON, an
individual;

DOES 1-100, inclusive,

Defendants.

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CASE NO: 24STCV25389

[TENTATIVE] ORDER RE:
PLAINTIFF'S

MOTION FOR SUMMARY

ADJUDICATION AS TO
DEFENDANTS

Dept. 731

August 6, 2026

9:30 a.m.

Moving Party: Plaintiff, Cornerstone SBA Lending, Inc.

Opposing Party: None

Notice: Ok

Plaintiff Centerstone SBA Lending, Inc. ("Plaintiff") sues Defendants Crownco Inc. and Charles E. Morrison pursuant to a March 30, 2024, Complaint alleging four causes of action arising from allegations that Defendants breached a Small Business Administration ("SBA") loan agreement entered by the parties by failing to repay, as of the time the Complaint was filed, \$1,647,808.09 to Plaintiff, plus interest.

Defendant Morrison via counsel answered the Complaint on November 18, 2024, and filed a substitution of attorney on May 18, 2026.

Crownco Inc. filed a notice of bankruptcy stay on November 18, 2024, on which the record fails to reflect an update beyond the Court's minutes on May 27, 2025.

On April 14, 2026, Plaintiff filed a motion for summary adjudication of the first cause of action alleged in the Complaint, as against Defendant Charles E. Morrison.

On July 20, 2026, the Court posted a tentative ruling denying Plaintiff's motion for two reasons: the record's failure in showing valid proof of service of the motion papers; and non-compliance with California Rules of Court, rule 3.1350(b).

That same day, Plaintiff filed a proof of service attesting to service of the motion papers on Defendants' counsel by overnight delivery on April 14, 2026, i.e., on the same day the motion papers were filed with the Court.

On July 21, 2026, Plaintiff's motion came before the Court. Counsel appeared for Plaintiff, and no appearances were made on behalf of Defendants. The Court continued the hearing on Plaintiff's motion to August 6, 2026, and closed by stating: "If the Plaintiff does not appear for the Hearing re: Motion for Summary Adjudication the Court will grant said motion."

On July 22, 2026, Plaintiff filed a proof of service attesting to service of the Court's July 21st Order on Defendants' counsel via mail and electronic delivery.

The record fails to reflect that Defendant Charles E. Morrison has filed any opposition, declaration, response, or other paper relation to Plaintiff's April 14, 2026, motion.

After review, the Court determines that the service of process of the summary adjudication papers was properly effected via overnight delivery to defense counsel's address, as reflected in Charles E. Morrison's Answer. (Compare Jul. 21, 2026, Proof of Service, 2:7-10, with Nov. 18, 2024, Answer, 1:2-3 [same address].)

Moreover, the Court determines that Plaintiff has carried its burden of showing no triable issues exist as to the first cause of action for breach of contract as against Defendant Charles E. Morrison.

To prevail on a claim for breach of contract, the plaintiff must prove (1) the contract, (2) the plaintiff's performance of the contract or excuse for nonperformance, (3) the defendant's breach, and (4) the resulting damage to the plaintiff." (Richman v. Hartley (2014) 224 Cal.App.4th 1182, 1186.)

Here, Plaintiff's moving papers show prima facie evidence of:

(1) A contract (see Motion, p. 5, citing Motion, Separate Statement, Undisputed Material Fact ("UMF) No. 1, in turn citing Motion, Jasmine Decl., ¶ 5, Exs. 1 [business loan agreement], 2 [U.S. Business Administration note], 3 [disbursement request and authorization]);

(2) Plaintiff's performance or excuse under the contract (see Motion, p. 6, citing Motion, Separate Statement, UMF No. 5, in turn citing Motion, Kim Decl., ¶ 6);

(3) Breach by Charles E. Morrison

(see Motion, p. 6, citing Motion, Separate Statement, UMF No. 6, in turn citing Motion, Kim Decl., ¶ 7, Ex. 4 [statement of account for the agreement, showing balance owed beyond due date on the account]); and

(4) Damages to Plaintiff (see Motion, p. 6, citing Motion, Separate Statement, UMF No. 10, in turn citing Motion, Kim Decl., ¶ 10, Ex. 4 [statement of account showing \$1,637,808.09 in principal owed, \$363,096.91 in interest, and \$48,792.14 in late charges as of April 9, 2026]).

No opposition appears in the record to carry Defendant Charles E. Morrison's corresponding burden of showing triable issues on the breach of contract claim.

Accordingly, Plaintiff's motion is GRANTED.

Plaintiff Cornerstone SBA Lending, Inc. is ordered to give notice.

Parties who intend to submit on this tentative must send an email to the court at indicating intention to submit on the tentative as directed by the instructions provided on the court website at www.lacourt.org. If the department does not receive an email indicating the parties are submitting on the tentative and there are no appearances at the hearing, the motion may be placed off calendar. If a party submits on the tentative, the party's email must include the case number and must identify the party submitting on the tentative. If the parties do not submit on the tentative, they should arrange to appear remotely.

DATED: August 6, 2026 _____

MARK C. KIM

Judge of the
Superior Court